

Healthcare - China (H/A)

Robust deal activity and continued R&D progress driving healthcare re-rating

Price Objective Change

CSPC: another collaboration with AstraZeneca

On 2 July, CSPC announced a collaboration agreement with AstraZeneca (AZ) to leverage CSPC's siRNA drug-discovery and extrahepatic targeted-delivery platforms. CSPC and AZ will co-develop PCCs for two renal disease targets. AZ will have the option to obtain exclusive global, or ex-China, rights for each preclinical candidate, while CSPC will retain China rights to one candidate. CSPC will receive an upfront payment of US\$30mn and is eligible for up to US\$540mn/US\$1.2bn in development/sales milestone payments plus potential single-digit royalties. We add the US\$30mn upfront payment to our estimates and raise our 2027 revenue/NP estimate by 0.8%/2.0%, as well as lift our long-term sales estimates. Our PO increases to HK\$7.6 from HK\$6.8. However, we reiterate our Underperform rating on CSPC given continued sales pressure on its key marketed drugs.

Gushengtang: footprint expansion through acquisitions

On 5 July, Gushengtang (GST) announced the acquisitions of Shahe Hospital and Beijing Hongyang Hospital. The acquisitions will expand the company's medical institution network and strengthen its presence in Beijing. Mgmt. expects the acquired hospitals to generate synergies with GST's existing medical institutions and online healthcare platform. The transactions will be funded by proceeds from the company's recent share placement and convertible bond issuance, as well as internal cash resources. We maintain our Buy rating and HK\$32.60 PO on GST.

Innovent: commercialization deal with Lilly on CDK4/6

Recently, Innovent announced a commercialization agreement with Lilly for Verzenio (abemaciclib) in mainland China. Under the agreement, Innovent will be responsible for the product's imports, marketing, distribution, and promotion. Verzenio was the first CDK4&6 inhibitor to be included in the NRDL in 2021 and has since secured reimbursement coverage for both early and advanced breast cancer indications. To reflect the revenue contribution from abemaciclib from 2H26, we lift our 2026/27/28 revenue estimates by 3.3%/5.3%/4.7%. Consequently, we raise our DCF-derived PO to HK\$119.2 (from HK\$116.8) and reiterate our Buy rating given the company's enriched commercial products portfolio and solid in-house R&D capabilities.

Hengrui: multiple innovative drug R&D updates

Hengrui has announced multiple R&D updates recently. It disclosed that the marketing application for SHR-A1811's third indication (1L/2L HER2-low mBC) has been accepted by NMPA and granted priority review. In addition, Hengrui received clinical trial approvals for several innovative drug candidates, including HRS-4508 (for breast and lung cancers), SHR-6914 (for PCa), HRS-7525 (for solid tumor), and several combo therapies. Although we are concerned about the potential impact on generics from the new round of anti-corruption campaign, especially in low-tier cities, we still believe its sales growth on innovative drugs portfolio can achieve 30% growth in 2026E. We reiterate our Buy rating and RMB\$72.70 PO on Hengrui.

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Refer to important disclosures on page 7 to 11. Analyst Certification on page 4. Price Objective Basis/Risk on page 3.

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07 July 2026

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Exhibit 1: PO changes

We lift CSPC's and Innovent's POs

Company	Currency	Old PO	New PO
CSPC	HK\$	6.8	7.6
Innovent	HK\$	116.8	119.2

Source: BofA Global Research

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Abbreviations:

siRNA: Small interfering ribonucleic acid

PCC: Pre-clinical Candidate

GST: Gushengtang

CDK4/6: Cyclin-Dependent Kinase 4/6

NRDL: National Reimbursement Drug List

HER2: Human Epidermal Growth Factor Receptor 2

mBC: Metastatic Breast Cancer

1/2L: first/second-line

NMPA: National Medical Products Administration

PCa: prostate cancer

EGFR: Epidermal Growth Factor Receptor

ADC: Antibody-Drug Conjugate

NSCLC: Non-Small Cell Lung Cancer

NP: Net Profit

Estimate changes

CSPC

Separately, CSPC has initiated two Phase III studies for SYS6010 (EGFR ADC) in NSCLC recently. We add the US\$30mn upfront payment to our estimate and raise our 2027 revenue/NP estimates by 0.8%/2.0%. As the partnered candidates remain at the preclinical stage, we do not include any revenue contribution from these candidates in our estimates. We also raise our SYS6010 NSCLC penetration assumptions from 2029 and lift our revenue estimates for the product, reflecting its broader Phase III development plan. Overall, we lift our PO to HK\$7.6 from HK\$6.8. We reiterate our Underperform rating given continued sales pressure on CSPC's key marketed drugs.

Exhibit 2: Estimate changes

We raise 2027E revenue/NP by 0.8%/2.0%

(RMB mn)	New			Old			% Change (New vs Old)		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Total Revenue	34,906	25,493	27,155	34,906	25,281	27,155	0.0%	0.8%	0.0%
COGS	(8,884)	(8,624)	(9,232)	(8,884)	(8,620)	(9,232)	0.0%	0.0%	0.0%
Gross profit	26,022	16,868	17,923	26,022	16,661	17,923	0.0%	1.2%	0.0%
Selling and distribution costs	(6,458)	(6,118)	(6,246)	(6,458)	(6,067)	(6,246)	0.0%	0.8%	0.0%
Administrative expenses	(956)	(892)	(950)	(956)	(885)	(950)	0.0%	0.8%	0.0%
R&D expense	(5,829)	(5,353)	(5,838)	(5,829)	(5,309)	(5,838)	0.0%	0.8%	0.0%
Financing expenses	(31)	(25)	(19)	(31)	(25)	(19)	0.0%	0.0%	0.0%
Profit Before Tax	13,638	5,371	5,815	13,638	5,266	5,815	0.0%	2.0%	0.0%
Tax expense	(2,387)	(940)	(1,018)	(2,387)	(922)	(1,018)	0.0%	2.0%	0.0%
Net Income	11,082	4,364	4,725	11,082	4,279	4,725	0.0%	2.0%	0.0%
Adjusted net income	11,127	4,411	4,774	11,127	4,326	4,774	0.0%	2.0%	0.0%
Basic EPS	0.97	0.38	0.41	0.97	0.37	0.41	0.0%	2.0%	0.0%
Fully diluted EPS	0.97	0.38	0.41	0.97	0.37	0.41	0.0%	2.0%	0.0%
Gross margin (%)	74.5%	66.2%	66.0%	74.5%	65.9%	66.0%	0.0	0.3	0.0
Selling expense % of sales	-18.5%	-24.0%	-23.0%	-18.5%	-24.0%	-23.0%	0.0	0.0	0.0
G&A % of sales	-2.7%	-3.5%	-3.5%	-2.7%	-3.5%	-3.5%	0.0	0.0	0.0
R&D expenses as % of sales	-16.7%	-21.0%	-21.5%	-16.7%	-21.0%	-21.5%	0.0	0.0	0.0
Tax rate (%)	-17.5%	-17.5%	-17.5%	-17.5%	-17.5%	-17.5%	0.0	0.0	0.0
Net margin (%)	31.7%	17.1%	17.4%	31.7%	16.9%	17.4%	0.0	0.2	0.0
%yoy Growth									
Revenue	34.2%	-27.0%	6.5%	34.2%	-27.6%	7.4%	0.0	0.6	-0.9
Net income	185.5%	-60.6%	8.3%	185.5%	-61.4%	10.4%	0.0	0.8	-2.2

Source: BofA Global Research estimates

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Innovent

Exhibit 3: Estimate changes

We lift 2026/27/28E revenue by 3.3%/5.3%/4.7%

(RMB mn)	New			Old			% Change (New vs Old)		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Total Revenue	18,453	25,001	27,688	17,871	23,749	26,447	3.3%	5.3%	4.7%
COGS	-2,566	-4,443	-4,974	-2,450	-4,193	-4,726	4.8%	6.0%	5.3%
Gross profit	15,886	20,558	22,714	15,421	19,557	21,721	3.0%	5.1%	4.6%
R&D expense	-4,613	-4,500	-4,569	-4,468	-4,275	-4,364	3.3%	5.3%	4.7%
SG&A expense	-9,226	-12,000	-13,014	-8,935	-11,400	-12,430	3.3%	5.3%	4.7%
Other income/expense	400	400	400	400	400	400			
Operating income	996	2,861	3,776	966	2,686	3,571	3.0%	6.5%	5.7%
Other income/expenses	167	250	277	162	237	264	3.3%	5.3%	4.7%
Finance costs	-88	-95	-95	-88	-95	-95	0.0%	0.0%	0.0%
Profit Before Tax	1,075	3,015	3,957	1,041	2,828	3,740	3.3%	6.6%	5.8%
Tax expense	-140	-392	-514	-135	-368	-486	3.3%	6.6%	5.8%
Net Income	935	2,623	3,443	905	2,460	3,254	3.3%	6.6%	5.8%
Basic EPS	0.56	1.56	2.05	0.54	1.47	1.94	3.3%	6.6%	5.8%
Fully diluted EPS	0.54	1.51	1.98	0.52	1.41	1.87	3.3%	6.6%	5.8%
Gross margin (%)	86%	82%	82%	86%	82%	82%	-0.2	-0.1	-0.1
R&D expense % of sales	-25%	-18%	-17%	-25%	-18%	-17%	0.0	0.0	0.0



Exhibit 3: Estimate changes

We lift 2026/27/28E revenue by 3.3%/5.3%/4.7%

	New			Old			% Change (New vs Old)		
SG&A % of sales	-50%	-48%	-47%	-50%	-48%	-47%	0.0	0.0	0.0
Operating margin (%)	5%	11%	14%	5%	11%	14%	0.0	0.1	0.1
Tax rate (%)	-13%	-13%	-13%	-13%	-13%	-13%	0.0	0.0	0.0
Net margin (%)	5%	10%	12%	5%	10%	12%	0.0	0.1	0.1
% yoy Revenue	41%	35%	11%	37%	33%	11%	4.5	2.6	-0.6

Source: BofA Global Research estimates

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Exhibit 4: Stocks mentioned

Prices and ratings for stocks mentioned in this report

BofA Ticker	Bloomberg ticker	Company name	Price	Rating
CHJTF	1093 HK	CSPC Pharmaceutical	HK\$ 8.23	C-3-7
GSHTF	2273 HK	Gushengtang	HK\$ 30.78	C-1-7
XMOKF	600276 CH	Hengrui Medicine	CNY 56.77	B-1-7
IVBXF	1801 HK	Innovent	HK\$ 90.5	C-1-9

Source: BofA Global Research

BofA GLOBAL RESEARCH

Price objective basis & risk**CSPC Pharmaceutical (CHJTF)**

Our DCF model for CSPC derived a PO of HK\$7.6. Our assumption of the DCF model includes a 5% debt-to-asset ratio, a 4.0% risk free rate, 7.0% market premium, and 5.0% cost of debt. We apply beta of 0.8 and arrive at 9.6% cost of equity and 9.3% WACC. We estimate a 1.5% terminal growth for the company.

Upside risks to our PO are: strong performance of newly launched products, lower-than-expected impact from VBP and NRDL price cut, better-than-expected clinical progress and results.

Downside risks to our PO are: price-cut pressure from VBP on new drugs, failure in clinical trials.

Gushengtang (GSHTF)

We use discounted cash flow to arrive at a PO of HK\$32.6. We use a debt to asset ratio of 5%, a risk free rate of 4%, a market premium of 7%, and a beta of 1.1 to arrive at a 11.7% cost of equity. We also apply a 5% cost of debt. We use a WACC of 11.4% and a terminal growth of 1.5%.

Downside risks: 1) policy and regulatory risks on TCM and healthcare service providers, 2) intense competition, 3) failure in recruiting professionals, 4) data protection risks, 5) soft consumption environment in China and weak demand for TCM services.

Hengrui Medicine (XMOKF)

Our PO of RMB72.7 is based on a DCF model. Our assumption of the DCF model includes a 0% debt-to-asset ratio, a 2.0% risk free rate, 7.0% market premium, and 5.1% cost of debt. We apply beta of 0.69 and arrive at 6.8% cost of equity. We estimate a



3.5% terminal growth for the company.

Downside risks to our PO are (1) setback in drug development and a delay in product approvals, (2) slow sales ramp-up of new products, (3) increasing pricing risk from VBP (4) stiffer competition for PD-1 and other drugs, and (5) slow overseas expansion.

Upside risks to our PO are: (1) higher-than-expected net profit margin and (2) faster-than-expected progress of pipeline candidates.

Innovent (IVBXF)

We derive our PO of HK\$119.2 from a DCF model, assuming a WACC of 9.6% and a terminal growth rate of 4%. The DCF is based on PD-1, biosimilars, mazdutide and a few other drugs' commercial sales as well as revenue estimate of key pipeline assets including IB1363 and others.

Downside risks: commercialization for PD-1 and biosimilars below expectation, clinical development setback for late stage assets, and pricing pressure from NRDL's inclusion of competitors' products.

Upside risk: faster-than-expected sales growth of drugs included in NRDL.

Analyst Certification

We, David Li and Ethan Cui, hereby certify that the views each of us has expressed in this research report accurately reflect each of our respective personal views about the subject securities and issuers. We also certify that no part of our respective compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

APR - Healthcare Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Adicon Holdings	ADCNF	9860 HK	David Li
	Aier Eye Hospital	XAEOF	300015 CH	David Li
	Akeso	AKESF	9926 HK	Ethan Cui
	Angelalign Technology Inc	AGLFF	6699 HK	David Li
	Apollo Hospital	XWQAF	APHS IN	Neha Manpuria
	Astellas Pharma	ALPMF	4503 JP	Koichi Mamegano
	Astellas Pharma	ALPMY	ALPMY US	Koichi Mamegano
	Asymchem Laboratories	XALPF	002821 CH	David Li
	Aurobindo	XLZFF	ARBP IN	Neha Manpuria
	Baiyunshan	GZPHF	874 HK	Sandra Sun
	Bangkok Chain Hospital	BKKFF	BCH TB	Teerapol Udomvej, CFA
	Bangkok Dusit Medical Services	BDMSF	BDMS TB	Teerapol Udomvej, CFA
	Beijing Tongrentang Co., Limited	BJTGF	600085 CH	David Li
	BeOne Medicines Ltd	BEIGF	6160 HK	David Li
	BeOne Medicines Ltd	ONC	ONC US	David Li
	Bumrungrad Hospital	BUHHF	BH TB	Teerapol Udomvej, CFA
	Cansino Bio	CASBF	6185 HK	David Li
	Chularat Hospital Group	XOCOF	CHG TB	Teerapol Udomvej, CFA
	Cochlear Limited	CHEOF	COH AU	Lyanne Harrison
	CR Pharmaceutical	CRPGF	3320 HK	David Li
	Daiichi Sankyo	DSKYF	4568 JP	Koichi Mamegano
	Daiichi Sankyo	DSNKY	DSNKY US	Koichi Mamegano
	Divis Laboratories	XXQPF	DIVI IN	Neha Manpuria
	Dr. Reddy's	XDLZF	DRRD IN	Neha Manpuria
	Dr. Reddy's	RDY	RDY US	Neha Manpuria
	Fisher & Paykel Healthcare	XPAXF	FPH AU	Lyanne Harrison
	Fisher & Paykel Healthcare	FSPKF	FPH NZ	Lyanne Harrison
	Giant Biogene	GBHCF	2367 HK	Ethan Cui
	Gland Pharma	XGLPF	GLAND IN	Neha Manpuria
	Gushengtang	GSHTF	2273 HK	David Li
	Hansoh	HNSPF	3692 HK	David Li
	Hengrui Medicine	XMOKF	600276 CH	David Li
	Huadong Medicine	XCPDF	000963 CH	Ethan Cui
	Hualan Biological	XCBEF	002007 CH	Ethan Cui
	Hygeia Healthcare	HYHHF	6078 HK	Ethan Cui
	IHH Healthcare Berhad	IHHHF	IHH MK	Neha Manpuria
	IHH Healthcare Bhd	XFAHF	IHH SP	Neha Manpuria
	Innovent	IVBXF	1801 HK	David Li
	Integral Diagnostics	ITGDF	IDX AU	Lyanne Harrison
	Jinxin Fertility	JXFGF	1951 HK	Ethan Cui
	Jinyu Bio-Tech	XMTDF	600201 CH	David Li
	JMDC	JMDCF	4483 JP	Ritsuo Watanabe
	Kelun-Biotech	XSKBF	6990 HK	David Li
	Laekna	LAKEF	2105 HK	David Li
	M3	MTHRF	2413 JP	Ritsuo Watanabe
	Medley	XEQNF	4480 JP	Ritsuo Watanabe
	Menicon	MNNLF	7780 JP	Kei Takeuchi
	MicroPort	MCRPF	853 HK	Sandra Sun
	Mindray	XDVVF	300760 CH	Sandra Sun
	Nakanishi	NKNSF	7716 JP	Kei Takeuchi
	New Industries Biomedical Engineering	XSNQF	300832 CH	Sandra Sun
	Nxera Pharma	SOLTF	4565 JP	Koichi Mamegano
	Otsuka HD	OTSKF	4578 JP	Koichi Mamegano
	Otsuka HD	OTSKY	OTSKY US	Koichi Mamegano
	Pharmaron	PHBBF	3759 HK	David Li
	Polynovo	CALZF	PNV AU	Lyanne Harrison
	Praram 9 Hospital	XPNHF	PR9 TB	Teerapol Udomvej, CFA
	ResMed Inc	RSMDF	RMD AU	Lyanne Harrison
	ResMed Inc.	RMD	RMD US	Lyanne Harrison
	Santen Pharm.	SNPHF	4536 JP	Koichi Mamegano
	Sawai Group Holdings	SWGHF	4887 JP	Ritsuo Watanabe
	Shanghai Pharmaceuticals	SHPMF	2607 HK	David Li
	Shanghai United Imaging	XCAOF	688271 CH	Sandra Sun
	Shimadzu	SHMZF	7701 JP	Kei Takeuchi



APR - Healthcare Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Shionogi	SGIOF	4507 JP	Koichi Mamegano
	Shionogi	SGIOY	SGIOY US	Koichi Mamegano
	Sigma Healthcare	SIGGF	SIG AU	Lyanne Harrison
	Sino Biopharm	SBMFF	1177 HK	David Li
	Sinopharm	SHTDF	1099 HK	David Li
	Sonic Healthcare Limited	SKHCF	SHL AU	Lyanne Harrison
	Sysmex	SSMXF	6869 JP	Kei Takeuchi
	Takeda Pharm.	TKPHF	4502 JP	Koichi Mamegano
	Takeda Pharm.	TAK	TAK US	Koichi Mamegano
	Terumo	TRUMF	4543 JP	Kei Takeuchi
	TigerMed	HTMDF	3347 HK	David Li
	Torrent Pharma	TOPHF	TRP IN	Neha Manpuria
	Towa Pharmaceutical	TWAPF	4553 JP	Ritsuo Watanabe
	Wuxi Apptec	WUXIF	2359 HK	David Li
	Wuxi Apptec	XLUHF	603259 CH	David Li
	Yunnan Baiyao	YBAIF	000538 CH	Sandra Sun

NEUTRAL

	Ain Holdings	AINPF	9627 JP	Ritsuo Watanabe
	Alkem	XAMLF	ALKEM IN	Neha Manpuria
	Asahi Intecc	AHICF	7747 JP	Kei Takeuchi
	Australian Clinical Labs	XAUKF	ACL AU	Lyanne Harrison
	Biocon	XLOFF	BIOS IN	Neha Manpuria
	Chugai Pharm.	CHGCF	4519 JP	Koichi Mamegano
	Cipla	XCLAF	CIPLA IN	Neha Manpuria
	CSL Limited	CMXHF	CSL AU	Lyanne Harrison
	CSL Limited	CSLLY	CSLLY US	Lyanne Harrison
	Everest Medicine	XMLKF	1952 HK	David Li
	Fortis Health	XFFTF	FORH IN	Neha Manpuria
	Fujifilm Holdings	FUJIF	4901 JP	Kei Takeuchi
	FUJIFILM Holdings	FUJIY	FUJIY US	Kei Takeuchi
	Imeik	ZMITF	300896 CH	Ethan Cui
	Max Healthcare	XMHLF	MAXHEALT IN	Neha Manpuria
	Ono Pharm.	OPHLF	4528 JP	Koichi Mamegano
	Ramsay Health Care Limited	RMSYF	RHC AU	Lyanne Harrison
	Sumitomo Pharma	DNPUF	4506 JP	Koichi Mamegano
	Topchoice Medical	XZDXF	600763 CH	Ethan Cui
	WuXi Biologics	WXIBF	2269 HK	David Li
	Zai Lab	ZLAB	ZLAB US	David Li
	Zai Lab	XCDZF	9688 HK	David Li
	Zydus Lifesciences	XMQLF	ZYDUSLIF IN	Neha Manpuria

UNDERPERFORM

	Autobio Diagnostics Co Ltd	XQDXF	603658 CH	Sandra Sun
	Baiyunshan	XOUFF	600332 CH	Sandra Sun
	Beijing Wantai Biological Pharmacy	XBHIF	603392 CH	David Li
	CSPC Pharmaceutical	CHJTF	1093 HK	Ethan Cui
	EBOS Group Limited	EBOSF	EBO NZ	Lyanne Harrison
	EBOS Group Limited	XEBOF	EBO AU	Lyanne Harrison
	Eisai	ESALF	4523 JP	Koichi Mamegano
	Frontage	FGHQF	1521 HK	David Li
	Healius Limited	PHCRF	HLS AU	Lyanne Harrison
	Joinn Lab	XQTSF	6127 HK	David Li
	Joinn Lab	JOLCF	603127 CH	David Li
	Kyowa Kirin	KYKOF	4151 JP	Koichi Mamegano
	Lupin	XEFSF	LPC IN	Neha Manpuria
	Mankind Pharma	XDXZF	MANKIND IN	Neha Manpuria
	Medipal Holdings	MEPDF	7459 JP	Ritsuo Watanabe
	Olympus Corp.	OCPNF	7733 JP	Kei Takeuchi
	Ovctek	XOCKF	300595 CH	David Li
	Pharmaron	XYLGF	300759 CH	David Li
	PHC Holdings	PHCCF	6523 JP	Kei Takeuchi
	Pien Tze Huang	XUVHF	600436 CH	Sandra Sun
	Shanghai Pharmaceuticals	XKCRF	601607 CH	David Li
	SMS	SMSZF	2175 JP	Ritsuo Watanabe
	Sun Pharma	XPUCF	SUNP IN	Neha Manpuria



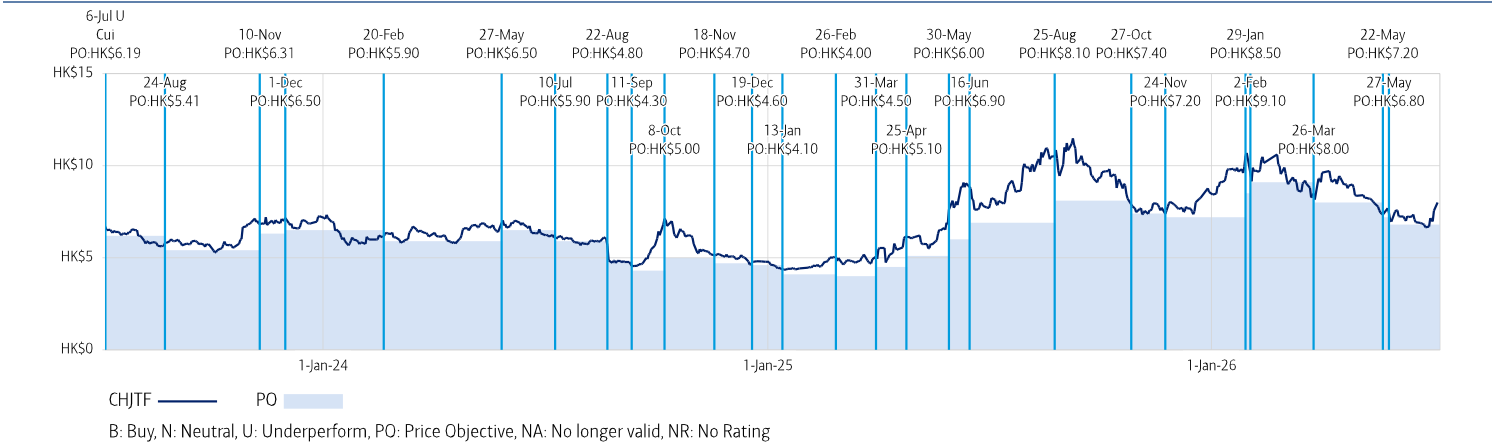
APR - Healthcare Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	TigerMed	XHTHF	300347 CH	David Li
	Yifeng Pharmacy	XYHCF	603939 CH	Ethan Cui
	Zhifei	XCHOF	300122 CH	David Li

Disclosures

Important Disclosures

CSPC Pharmaceutical (CHJTF) Price Chart

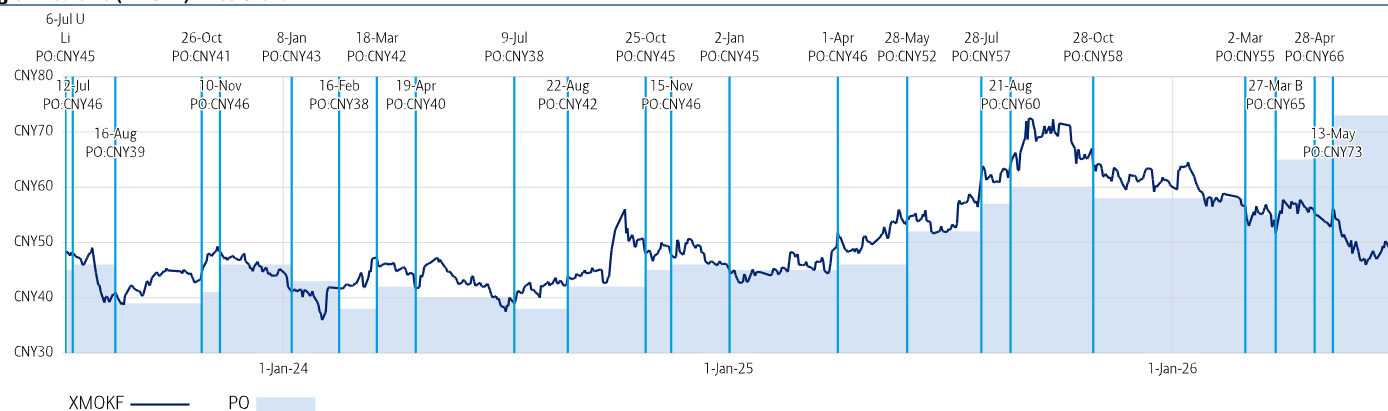


The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

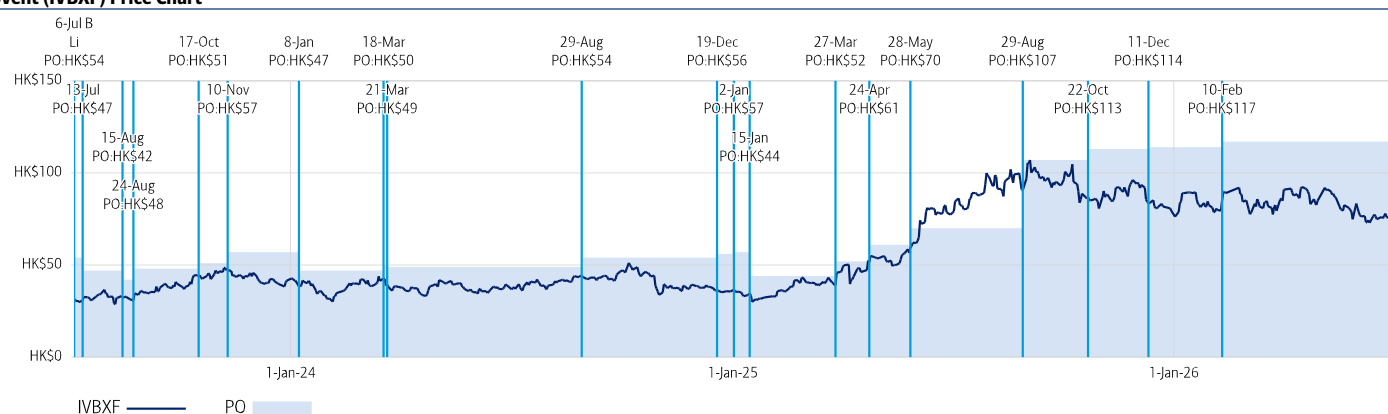
Gushengtang (GSHTF) Price Chart



The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Hengrui Medicine (XMOKF) Price Chart

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Innovent (IVBXF) Price Chart

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Equity Investment Rating Distribution: Health Care Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	233	60.36%	Buy	133	57.08%
Hold	77	19.95%	Hold	44	57.14%
Sell	76	19.69%	Sell	28	36.84%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.



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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2}Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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